



April 8, 2025

Sen. Michael Moore, Chair
Joint Committee on Advanced Information
Technology, the Internet and Cybersecurity
24 Beacon Street, Room 109-B
Boston, MA 02133

Rep. Tricia Farley-Bouvier, Chair
Joint Committee on Advanced Information
Technology, the Internet and Cybersecurity
24 Beacon Street, Room 274
Boston, MA 02133

Sen. Pavel Payano, Vice Chair
Joint Committee on Advanced Information
Technology, the Internet and Cybersecurity
24 Beacon Street, Room 520
Boston, MA 02133

Rep. James K. Hawkins, Vice Chair
Joint Committee on Advanced Information
Technology, the Internet and Cybersecurity
24 Beacon Street, Room 472
Boston, MA 02133

RE: Ad Trade Letter in Opposition to Massachusetts S. 29, S. 45, H. 78, H. 103, and H. 104

Dear Chair Moore, Chair Farley-Bouvier, Vice Chair Payano, and Vice Chair Hawkins:

On behalf of the advertising industry, we respectfully oppose S. 29, S. 45, H. 78, H. 103, and H. 104 (“bills”) in their current form, and we offer this letter to express our non-exhaustive list of concerns with these pieces of proposed legislation.¹ We and the companies we represent, many of whom do substantial business in Massachusetts, strongly believe consumers deserve meaningful privacy protections supported by reasonable laws and industry policies. However, as described in more detail below, these bills contain provisions that are out-of-step with privacy laws in other states and will only add to the increasingly complex privacy landscape for both businesses and consumers across the country. We ask you to adopt an approach to data privacy that is harmonized with other state privacy laws, like those in New Hampshire and Connecticut. Accordingly, we ask you to decline to advance these bills as drafted out of the Joint Committee on Advanced Information Technology, the Internet, and Cybersecurity (“Committee”) and to consider updates to bring the bills in line with the majority of states which have passed privacy legislation.

As the nation’s leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for 12 percent of total U.S. gross domestic product (“GDP”) in 2020.² By one

¹ Massachusetts S. 29 (2025-2026 Reg. Sess.), located [here](#) (hereinafter, “S. 29”); Massachusetts S. 45 (2025-2026 Reg. Sess.), located [here](#) (hereinafter, “S. 45”); Massachusetts H. 78 (2025-2026 Reg. Sess.), located [here](#) (hereinafter, “H. 78”); Massachusetts H. 103 (2025-2026 Reg. Sess.), located [here](#) (hereinafter, “H. 103”); and Massachusetts H. 104 (2025-2026 Reg. Sess.), located [here](#) (hereinafter, “H. 104”).

² John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 15 (Oct. 18, 2021), located at https://www.iab.com/wp-content/uploads/2021/10/IAB_Economic_Impact_of_the_Market-Making_Internet_Study_2021-10.pdf.

estimate, over 217,220 jobs in Massachusetts are related to the ad-subsidized Internet.³ Our group has more than a decade's worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls. We would welcome the opportunity to engage with the Committee further on the points we discuss in this letter.

I. Massachusetts' Privacy Approach Should be Harmonized with Existing State Privacy Laws

We and our members support a national standard for data privacy at the federal level. In the absence of such a national standard, it is critical for state legislators to seriously consider the costs and confusion to both consumers and businesses that will accrue from a patchwork of differing privacy standards across the states. Many of the bills under consideration by the Committee are based on failed federal privacy legislation from 2024 that did not undergo a hearing or a markup after it was introduced. Instead of working from an approach that did not have success, Massachusetts should focus its efforts on harmonizing with the approach taken in a majority of other states. Harmonization with existing privacy laws is essential for creating an environment where consumers in Massachusetts have a consistent set of expectations and the same rights as individuals in other states, while minimizing compliance costs for businesses operating in the state. The bills under consideration by the Committee would also grant regulatory authority to the Massachusetts Attorney General, creating the potential for even more fragmented and confusing privacy requirements in Massachusetts.⁴

The privacy proposals under consideration by the Committee differ starkly from privacy laws across the states in several ways. For example, several of the bills would define "targeted advertising" in a way that would categorize *any online advertisement* delivered based on *any inference* as targeted advertising, an overly broad definition that differs from nearly all states that define the term.⁵ Moreover, as drafted, S. 29, S. 45, H. 78 and H. 104 would deem online activity data, *i.e.*, data that reveals an individual's online activities over time and across third-party websites or online services, to be "sensitive" data and would ban such data from use in targeted advertising, an approach that would conflict with how every other state with an omnibus data privacy law regulates this data.⁶ This approach fails to recognize that online activity data is necessary for targeted advertising, which enhances the product and service offerings that are available and popular with consumers.

Compliance costs associated with divergent privacy laws are significant. To make the point: a regulatory impact assessment of the California Consumer Privacy Act of 2018 concluded that the initial compliance costs to California firms would be \$55 billion.⁷ Another recent study

³ *Id.* at 127-28.

⁴ S. 29 at § 14(a); S. 45 at § 14(a); H. 78 § 11; H. 103 § 13(a); H. 104 § 14(a).

⁵ S. 29 at § 1(32); S. 45 at § 1(32); H. 103 § 13(a); H. 104 § 1(32).

⁶ S. 29 at § 1(a)(29); S. 45 at § 1(a)(29); H. 78 § 1(37); H. 104 § 1(a)(29).

⁷ See State of California Department of Justice Office of the Attorney General, *Standardized Regulatory Impact Assessment: California Consumer Privacy Act of 2018 Regulations*, 11 (Aug. 2019), located at https://dof.ca.gov/wp-content/uploads/sites/352/Forecasting/Economics/Documents/CCPA_Regulations-SRIA-DOF.pdf.

found that a privacy proposal in Florida would have generated a direct initial compliance cost of \$6.2 billion to \$21 billion and ongoing annual compliance costs of \$4.6 billion to \$12.7 billion for the state. Other studies confirm the staggering cost associated with varying state privacy standards. One report found that state privacy laws could impose costs of between \$98 billion and \$112 billion annually, with costs exceeding \$1 trillion dollars over a 10-year period and small businesses shouldering a significant portion of the compliance cost burden.⁸ We acknowledge that it is popular to think that these costs will impact only the biggest of companies, but in truth these costs (and any reduction in competition) will flow down to local retailers, travel destinations, recipe publishers, farm stands, restaurants, and myriad other small businesses who see digital advertising as the lifeblood of attracting customers in Massachusetts. We encourage the Committee to take steps to align the bills with the majority of other state privacy laws that have been enacted.

II. Overly Restrictive Limitations on Data Collection and Processing Would Stifle the Economy

S. 29, S. 45, H. 78, and H. 104 include a data minimization term that would permit collection and processing of personal data only if reasonably necessary and proportionate “to provide or maintain... a specific product or service requested by the individual to whom the data pertains.”⁹ This overly restrictive limitation on personal data processing would impede business’ ability to process data for the benefit of consumers and to enrich the availability of goods and services in the economy. The proposed data minimization term could impose significant limitations on the availability of personal data for developing new technologies, providing pertinent messaging and advertising to consumers, creating cost-effective and efficient services, and combatting fraud.

For example, the term would functionally prohibit the collection of personal data to develop new and innovative offerings unrelated to requested products, or to improve existing offerings, because covered entities would be prohibited from collecting data outside of the context of providing a specific product or service requested by the consumer. The term would also hinder businesses from cross-selling products and services to their own customer base because collection of data for such a purpose would not necessarily be tied to a product or service the customer already knew about or requested specifically. The term could also impede the general availability of personal data for prospecting, *i.e.*, taking steps to find new customers who may be interested in a business’s products or services. In addition, the proposed term would severely inhibit third-party data sources from collecting personal data to further vital consumer fraud prevention efforts. As a result of this data minimization term, third-party fraud prevention services could be forced to refrain from collecting and making data available that the

⁸ Daniel Castro, Luke Dascoli, and Gillian Diebold, *The Looming Cost of a Patchwork of State Privacy Laws* (Jan. 24, 2022), located at <https://itif.org/publications/2022/01/24/looming-cost-patchwork-state-privacy-laws> (finding that small businesses would bear approximately \$20-23 billion of the out-of-state cost burden associated with state privacy law compliance annually).

⁹ S. 29 § 2(a); S. 45 § 2(a); H. 78 § 6(a); H.104 § 2(a).

Commonwealth's businesses rely on to prevent fraud, thereby making Massachusettsans more susceptible to identity theft and other negative outcomes.

The vast majority of states that have passed a data privacy law permit businesses to collect and process personal data as reasonably necessary and proportionate to achieve the purposes for which the personal data was collected, as disclosed to the consumer.¹⁰ S. 29, S. 45, H. 78, and H. 104 would contradict this reasonable, majority approach, thereby subjecting Massachusetts consumers to fewer benefits of data processing than their counterparts in nearby states and other parts of the country. Massachusetts should take steps to align these bills' data minimization terms with other states instead of adopting an onerous and untested approach to data collection and processing that could disadvantage Massachusetts consumers and businesses.

III. Online Activity Data Should Be Allowed for Use in Targeted Advertising and First Party Advertising

S. 29, S. 45, H. 78, and H. 104 propose a novel definition of "sensitive data" or "sensitive covered data" that includes online activity data, or information about an individual's online activities over time and across third-party websites or online services.¹¹ These bills would prohibit using sensitive data, including online activity data, for targeted advertising, and H. 78 would also prohibit use of this data for first-party advertising.¹² This approach fails to recognize that online activity data is necessary for targeted advertising and is permissible for use in first-party advertising in every other state. In addition, the bills propose a confusing approach to targeted advertising. While the bills would permit targeted advertising subject to a consumer's right to opt-out, they would ban the use of the very data that drives targeted advertising. By banning the use of online activity data for targeted advertising while simultaneously permitting targeted advertising subject to a consumer's opt-out choice, the bills propose an unclear approach to targeted advertising that would have a chilling effect on commerce. No other state that has enacted an omnibus privacy law has taken this approach.

Online activity data should not be considered sensitive when used for an advertising purpose. No state law restricts the use of data for first-party advertising, and use of online activity data to deliver targeted advertising is permitted on an opt-out basis in virtually every other state's privacy law. Furthermore, the use of data to deliver truthful, relevant advertising is protected by the First Amendment. The First Amendment protects both businesses in their right to free expression and individuals in their right to receive accurate information through advertising.¹³ Massachusetts should not advance an approach to privacy that may run afoul of bedrock constitutional protections when other workable approaches to governing sensitive data processing are used across several states.

¹⁰ See, e.g., Cal. Civ. Code § 1798.100(c); Va. Code Ann. § 59.1-578(1).

¹¹ S. 29 § 1(29)(xv); S. 45 § 1(29)(xv); H. 78 § 1(37)(G); H. 104 § 1(29)(xv).

¹² H. 78 at § 6(a)(2); S. 29 § 3(a)(4); S. 45 3(a)(4); H. 104 § 2(a)(3).

¹³ *Virginia State Board of Pharmacy v. Virginia Citizens Consumer Council, Inc.*, 425 U.S. 748, 756-67 (1976); *Sorrell et. Al. v. IMS Health Inc.*, 564 U.S. 552, 570-71 (2011).

IV. A Requirement to Disclose Names of Specific Third-Party Partners Would Interfere with Legitimate Business and Create Competition Concerns

S. 29, S. 45, and H. 104 diverge from nearly all state privacy laws by requiring covered entities to disclose “the names of any such third party . . . to whom the covered entity has transferred for consideration the covered data of the individual” upon a consumer’s request.¹⁴ The vast majority of other states that have enacted privacy laws do not include this impractical and duplicative requirement. Instead, most other state privacy laws require companies to disclose the *categories* of third parties to whom they transfer personal data rather than the specific names of such third parties themselves.¹⁵

Requiring documentation or disclosure of the names of entities would be operationally burdensome, as covered entities change business partners frequently, and companies regularly merge with others and change names. For instance, a covered entity may engage in a data exchange with a new business-customer on the same day it responds to a consumer disclosure request. This requirement would either force the covered entity to refrain from engaging in commerce with the new business-customer until its consumer disclosures are updated or risk violating the law. This is an unreasonable restraint.

From an operational standpoint, constantly updating a list of all third-party partners a covered entity works with would take significant resources and time away from efforts to comply with other new privacy directives in these bills. These bills’ inclusion of the requirement for this list of names to be specific to the individual further exacerbates this operational burden. Consequently, covered entities may be forced to jeopardize new business opportunities and relationships just to compile, maintain, update, and distribute these ephemeral lists.

International privacy standards like the European Union’s General Data Protection Regulation (“GDPR”) also do not require burdensome disclosures of specific third parties in response to data subject access requests, according to the text of the law. Mandating that companies disclose the names of their third-party partners could obligate companies to abridge confidentiality clauses they maintain in their contracts with partners and expose proprietary business information to their competitors.

Finally, the consumer benefit that would accrue from their receipt of a list of third-party partners to whom a covered entity discloses data would be minimal at best. The benefit would be especially insignificant given S. 29, S. 45, and H. 104 already require covered entities to disclose *categories* of third-party partners in privacy notices for consumers.¹⁶ For these reasons, we encourage the Committee to strike the onerous language requiring disclosure of a list of specific third parties, which severely diverges from the approach to disclosures taken in almost all existing state privacy laws. To align S. 29, S. 45, and H. 104 with other state privacy laws, the

¹⁴ S. 29 § 4(a)(1)(ii); S. 45 § 4(a)(1)(ii); H.104 § 4(a)(1)(ii).

¹⁵ See, e.g., Cal. Civ. Code § 1798.110; Va. Code Ann. § 59.1-578(C); Colo. Rev. Stat. § 6-1-1308(1)(a); Conn. Gen. Stat. § 42-520(c)(5); Utah Rev. Stat. § 16-61-302(1)(a).

¹⁶ S. 29 § 4(a)(1)(ii); S. 45 § 4(a)(1)(ii); H.104 § 4(a)(1)(ii).

bills should require disclosure of the categories of third parties rather than the names of such third parties themselves.

V. The Bills Contain Ambiguous Anti-Discrimination Terms

S. 29, S. 45, H. 78, H. 103, and H. 104's ambiguous requirement to ensure personal data is not processed in a manner that would make unavailable the "equal enjoyment" of goods or services could result in flatly outlawing advertisements and messaging to specific communities.¹⁷ For example, the provision could outlaw advertisements based on gender to connect individuals with clothing that matches their interests. The provision could also impede legitimate anti-discrimination efforts in Massachusetts by banning entities from purposefully reaching out to particular constituencies and communities with relevant and helpful messaging. Similar to other enacted state laws, anti-discrimination provisions should prohibit the processing of personal data in ways that violate state or federal laws against unlawful discrimination.¹⁸

VI. A Private Right of Action is an Inappropriate Form of Enforcement for Privacy Legislation

As presently drafted, S. 29, S. 45, H. 78, H. 103, and H. 104 would allow an individual to bring a lawsuit for an alleged violation.¹⁹ These bills should be updated to clarify that they do not create a private right of action under any law. We strongly believe private rights of action should have no place in privacy legislation. Instead, enforcement should be vested with the Attorney General ("AG") alone because such an enforcement structure would lead to stronger outcomes for individuals in Massachusetts while better enabling businesses to allocate resources to developing processes, procedures, and plans to facilitate compliance with new data privacy requirements. AG enforcement, instead of a private right of action, is in the best interests of individuals and businesses alike.

The private right of action in these bills would create a complex and flawed compliance system without tangible privacy benefits for individuals. Allowing private actions would flood Massachusetts's courts with frivolous lawsuits driven by opportunistic trial lawyers searching for technical violations, rather than focusing on actual individual harm.²⁰ Private right of action provisions are completely divorced from any connection to actual individual harm and provide individuals little by way of protection from detrimental data practices.

¹⁷ S. 29 § 8(a); S. 45 § 8(a); H. 78 § 4(f); H. 103 § 7(a); H. 104 § 8(a).

¹⁸ See, e.g., Va. Code Ann. § 59.1-578(A)(4); Colo. Rev. Stat. § 6-1-1308(6); Conn. Gen. Stat. § 42-520(a)(5).

¹⁹ S. 29 § 12(b); S. 45 § 12(b); H. 78 § 12(b); H. 103 § 11(b); and H. 104 § 12(b).

²⁰ A select few attorneys benefit disproportionately from private right of action enforcement mechanisms in a way that dwarfs the benefits that accrue to the consumers who are the basis for the claims. For example, a study of 3,121 private actions under the Telephone Consumer Protection Act ("TCPA") showed that approximately 60 percent of TCPA lawsuits were brought by just forty-four law firms. Amounts paid out to consumers under such lawsuits proved to be insignificant, as only 4 to 8 percent of eligible claim members made themselves available for compensation from the settlement funds. U.S. Chamber Institute for Legal Reform, *TCPA Litigation Sprawl* at 2, 4, 11-15 (Aug. 2017), located [here](#).

Additionally, a private right of action would have a chilling effect on the state's economy by creating the threat of steep penalties for companies that are good actors but inadvertently fail to conform to technical provisions of law. Private litigant enforcement provisions and related potential penalties for violations represent an overly punitive scheme that do not effectively address privacy concerns or deter undesired business conduct. They expose businesses to extraordinary and potentially enterprise-threatening costs for technical violations of law rather than drive systemic and helpful changes to business practices. A private right of action would also encumber businesses' attempts to innovate by threatening companies with expensive litigation costs, especially if those companies are visionaries striving to develop transformative new technologies. The threat of an expensive lawsuit may force smaller companies to agree to settle claims against them, even if they are convinced the claims are without merit.²¹

Beyond the staggering cost to businesses in the Commonwealth, the resulting snarl of litigation could create a chaotic and inconsistent enforcement framework with conflicting requirements based on differing court outcomes. Overall, a private right of action would serve as a windfall to the plaintiff's bar without focusing on the business practices that actually harm individuals. We therefore encourage the Committee to clarify that S. 29, S. 45, H. 78, H. 103, and H. 104 do not create a private right of action under any law and vest enforcement authority with the AG alone.

* * *

²¹ For instance, in the early 2000s, private actions under California's Unfair Competition Law ("UCL") "launched an unending attack on businesses all over the state." American Tort Reform Foundation, *State Consumer Protection Laws Unhinged: It's Time to Restore Sanity to the Litigation* at 8 (2003), located [here](#). Consumers brought suits against homebuilders for abbreviating "APR" instead of spelling out "Annual Percentage Rate" in advertisements and sued travel agents for not posting their phone numbers on websites, in addition to initiating myriad other frivolous lawsuits. These lawsuits disproportionately impacted small businesses, ultimately resulting in citizens voting to pass Proposition 64 in 2004 to stem the abuse of the state's broad private right of action under the UCL. *Id.*



Thank you in advance for your consideration of this letter. We ask you to refrain from advancing SB S. 29, S. 45, H. 78, H. 103, and H. 104 further in the legislative process, as their provisions would impose particularly onerous requirements that are out-of-step with other states and would unreasonably restrict the free flow of information that powers the economy and Massachusetts residents' access to resources. We would welcome the opportunity to engage further and work with you to craft a workable privacy framework that benefits Massachusetts businesses and consumers alike.

Sincerely,

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